

# PYGLARA

Prensados y Galvanizados de Lara, S.A.

*The largest galvanizing plant in central-western Venezuela*



# THE OPPORTUNITY

*A 50-year industrial plant with world-class German equipment*

**\$2.2M-\$3.0M**

Replacement cost  
(build from scratch)

**300 TM/mes**

Proven production  
(best historical month)

**936 varillas/dia**

Copper line with no  
domestic competitor

**3 meses**

From investment to  
revenue generation

*Assets valued in the millions. Operational in one quarter.*

# WHY NOW

*Venezuela reopens its oil sector — demand for galvanized steel explodes*

**\$183 BN**

Oil capex projected  
through 2040 (Rystad Energy)

**\$41 BN**

Fabrication & construction  
#1 service segment

**50 YEARS**

Without updating  
PDVSA infrastructure

**ONLY 2**

Commercial galvanizing service  
providers in all of Venezuela

# THE DEMAND IS ALREADY HERE

Concrete investments announced since January 2026

|                |                                                  |                                                          |
|----------------|--------------------------------------------------|----------------------------------------------------------|
| Jan 3, 2026    | Regime change in Venezuela                       | Oil sector opens to private investment                   |
| Jan 6, 2026    | Rystad Energy: \$183B oil capex 2026-2040        | \$41B in fabrication & construction alone                |
| Jan 9-10, 2026 | Repsol: triple production to 135,000 bpd         | New blocks in Orinoco Belt = new infrastructure          |
| Jan 30, 2026   | Chevron Q4: 240,000 bpd, +50% in 18 months       | Expansion of existing facilities                         |
| Feb 4, 2025    | Movistar/Telefonica: \$500M investment           | 805 nodes 5G + 500 base stations = galvanized towers     |
| Mar 11, 2026   | Reuters: Chevron & Shell close first major deals | Production contracts = immediate structural steel demand |
| Sep 2025       | CONATEL: National Telecom Plan 2025-2031         | 1,500 4G + 500 5G stations + 36,000 km fiber optic       |
| Mar 2026       | Venezuela reaches 1.1M bpd production            | Oil recovery underway                                    |

These are not projections — these are signed deals and public announcements with dates.

# WHAT THE OIL SECTOR ACTUALLY GALVANIZES

Not the pipelines — everything around them

- |                          |                  |                    |
|--------------------------|------------------|--------------------|
| ● Pipe racks             | 3m-12m pieces    | → 7m / 9m kettle   |
| ● Cable trays            | 2.4m-6m sections | → 3.5m / 7m kettle |
| ● Platforms & walkways   | Panels up to 6m  | → 7m kettle        |
| ● Handrails & stairs     | 3m-6m sections   | → 7m kettle        |
| ● Grating (floor panels) | Standard panels  | → 7m kettle        |
| ● Bolts, nuts, hardware  | Per ASTM A153    | → 65cm centrifuge  |

**\$41B**

Fabrication & construction  
(Rystad Energy, Jan 2026)

**\$10B+**

Materials & metals

**\$10B+**

Electrical & instrumentation

# TELECOMMUNICATIONS: 2,000+ NEW TOWERS

**\$500M**

Movistar/Telefonica  
investment (Feb 2025)

**2,000+**

New 4G and 5G  
base stations

**36,000**

Fiber optic deployment  
(support structures)  
**km**

Every cell tower requires galvanized steel structure. Every base station needs copper grounding rods.  
PYGLARA serves BOTH needs — the only company in Venezuela that can.

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CONATEL National Telecom Plan 2025-2031: 1,500 new 4G + 500 5G stations

Reinforcement of 3,000 existing stations across the country

36,000 km fiber optic backbone — all requiring galvanized support structures

# WHY GALVANIZING

*Hot-dip galvanizing outperforms paint in every aspect*

| FEATURE           | GALVANIZED                             | PAINT                              |
|-------------------|----------------------------------------|------------------------------------|
| Service life      | 50-100 years                           | 3-5 years (requires repainting)    |
| Bond type         | Metallurgical bond (zinc-iron)         | Surface adhesion (peels off)       |
| Self-healing      | YES — zinc protects cuts and scratches | NO — any damage exposes the steel  |
| Lifecycle cost    | ~70% cheaper long-term                 | Repainting every 3-5 years adds up |
| Impact resistance | Excellent — no bubbles, flakes         | Cracks, blisters and peels         |
| Corner protection | Corners receive MORE zinc (galvanic)   | Corners receive LESS paint         |
| Maintenance       | Zero for decades                       | Constant inspection and repainting |

*Galvanizing is not a coating — it is a permanent metallurgical bond between zinc and steel. The zinc sacrifices itself to protect the iron (cathodic protection).*

# THE PLANT

*50 years of industrial operations*



Zona Industrial I, Barquisimeto, Estado Lara



3,640 m2 across 2 industrial warehouses



Property title: clean



PDVSA gas (active contract), 66 kVA, industrial water



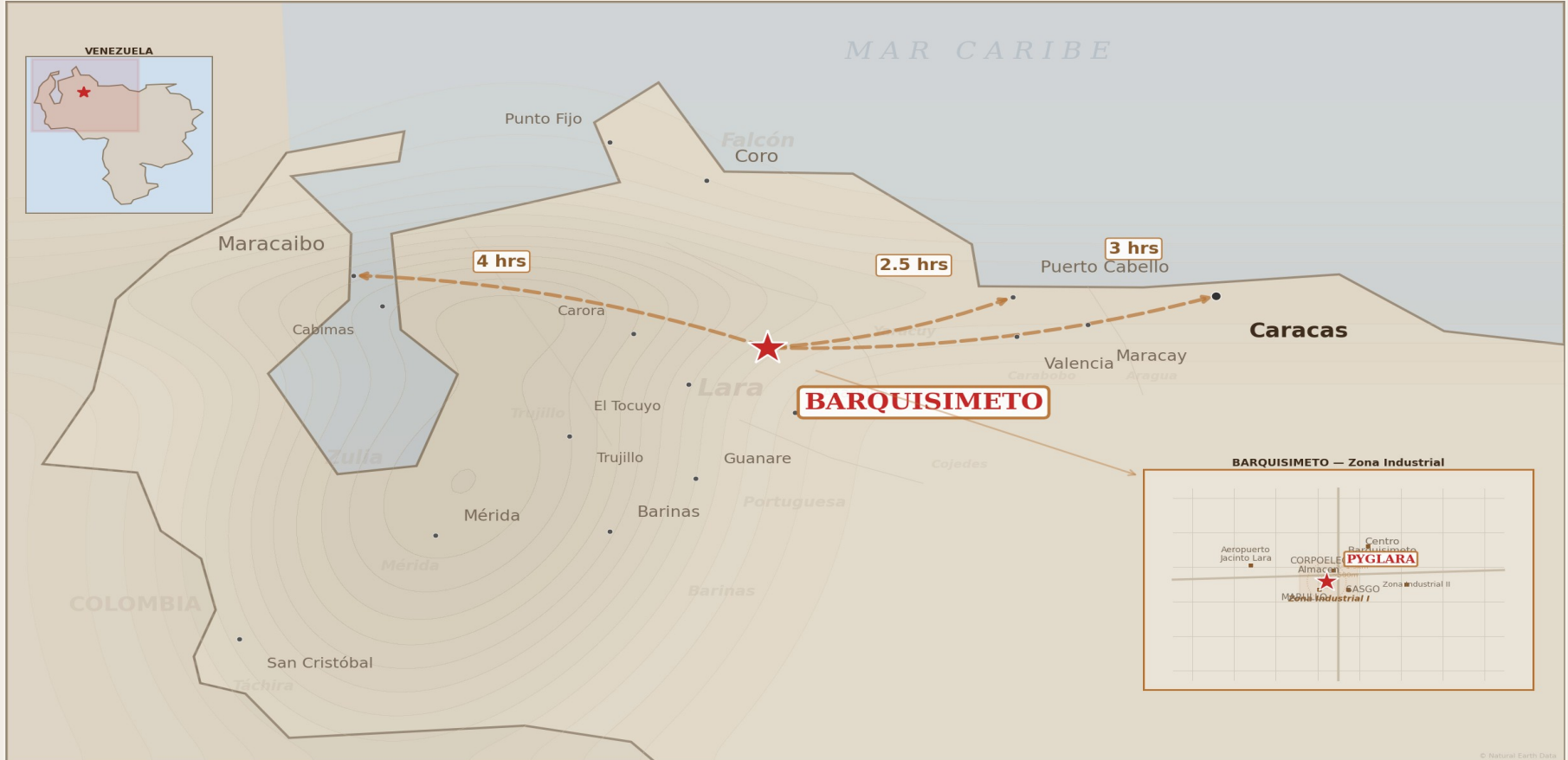
RIF: J-07014488-0 | Active municipal license





# STRATEGIC LOCATION

Barquisimeto: logistics hub of central-western Venezuela



# GEOGRAPHIC ADVANTAGES

*What our location means for the plant*



## **Puerto Cabello — 2.5 hours**

Main zinc import port in the country. Reduces raw material delivery costs and lead times.



## **Caracas — 3 hours**

Direct highway connection to the capital. Access to construction and infrastructure clients.



## **Oil sector — Zulia 4 hours**

Direct access to Lake Maracaibo oil region. PDVSA and contractors need galvanized steel.



## **Coverage of 8 states**

Lara, Yaracuy, Portuguesa, Falcon, Trujillo, Barinas, Merida, and Zulia. No nearby competitor in the entire region.



## **Industrial Zone I — clients meters away**

CORPOELEC, SASGO, Marullo and INDUESCA are in the SAME industrial complex. Zero transport costs.



## **Industrial gas and energy pricing**

PDVSA Gas rate for industrial zone. Regulated electricity pricing — very competitive fixed costs.

# WORLD-CLASS EQUIPMENT

Pilling Kettles — W. Pilling Riepe GmbH & Co. KG, Germany (since 1873)

| KETTLE          | STATUS                               | APPLICATION                     |
|-----------------|--------------------------------------|---------------------------------|
| 7 meters        | Installed, burners OK, awaiting zinc | Towers, poles, structures       |
| 9 meters        | Pending installation (valued \$570K) | Oversized work pieces           |
| 3.5 meters      | Inactive — needs repair              | Cable trays, supports, barriers |
| Centrifuga 65cm | ACTIVE, good condition               | Nails, hardware, bolts          |

Proven production (7m): **300 TM/mes**



# THE PILLING ADVANTAGE

*"El Ferrari de los hornos de galvanizado"*



## W. Pilling Riepe GmbH & Co. KG

World's leading manufacturer of galvanizing kettles since 1873 — over 150 years of German engineering.



## Electroslag welding

Patented process that creates defect-free joints. Wall thickness up to 80mm — indestructible.



## Decades of service life

Pilling kettles last 20-30+ years with basic maintenance. PYGLARA's burners confirmed in good condition.



## Replacement value: \$1.1M+

The kettles alone (7m + 9m + 3.5m + centrifuge) cost between \$1.14M and \$1.34M at replacement price.



9m Pilling Kettle  
Valued at \$570,000



# PRODUCTS & APPLICATIONS

*Every type of steel that needs corrosion protection*



## ELECTRICAL

Poles, transmission towers,  
cable trays, hardware



## OIL & GAS

Pipe racks, cable trays,  
platforms, grating, handrails



## CONSTRUCTION

Beams, columns, sheets,  
roofing, stairs, crash barriers



## RENEWABLE ENERGY

Solar panel mounts,  
wind towers, brackets



## INFRASTRUCTURE

Mechanically stabilized earth walls,  
signage, pedestrian bridges



## AGRO / INDUSTRIAL

Fencing, mesh, barbed wire,  
silos, tanks, gates

Mechanically stabilized earth: retaining walls reinforced with galvanized steel strips — Freyssinet/Geoquest is a historical PYGLARA client

# COPPER ELECTROPLATING

## ZERO domestic competitors

|          |                                           |
|----------|-------------------------------------------|
| Product  | Copperweld-type grounding rods            |
| Process  | Copper electroplating (electrolytic bath) |
| Diameter | 5/8" to 1"                                |
| Length   | 1.2m to 3.0m                              |
| Coating  | 300 um +/- 50 copper                      |
| Capacity | 936 units/day (24h cycle)                 |
| Revenue  | \$561K - \$1.05M/year at full capacity    |

ENELVEN (now CORPOELEC) purchased 20,000 rods in 2004-2005

Global copper ground rod market: \$2.5B (2025), growing 7% CAGR



# QUALITY & CERTIFICATIONS

International certifications + quality control on every batch

## PRENSADOS Y GALVANIZADOS DE LARA, S.A.

Carrera 2, esquina Calle 26, N° 29-90, Zona Industrial 1, Barquisimeto, Estado Lara  
Teléfono: +58 424 571 5349 | RIF: J-07022640-6 | Instagram: @pypglara

### *Certificado de Calidad* GALVANIZADO EN CALIENTE

**CLIENTE:** CONSTRUTORA QUEIROZ GALVAO - SUCURSAL VENEZUELA, C.A.  
**CANTIDAD:** 350 piezas | Peso: 7.156 kg | O/Entrega: 00010474  
**DESCRIPCIÓN:** Tubos Rectos  
**MEDIDAS:** 2" x 6,30 m  
**FECHA DE ENTREGA:** 03 de mayo de 2013

#### RESULTADOS DE ENSAYO

| PARAMETRO                                   | ESPECIFICACIÓN | RESULTADO OBTENIDO |
|---------------------------------------------|----------------|--------------------|
| Adherencia                                  | Buena          | Buena              |
| Apariencia                                  | Buena          | Buena              |
| Espesor de capa de zinc (promedio del lote) | 65 µm          | 101 µm             |
| Funcional (tornillos)                       | —              | —                  |

Espesor obtenido: 101 µm — 55% por encima de la especificación mínima (65 µm)

#### NORMAS APLICADAS

El proceso de galvanizado en caliente cumple con las siguientes normas:

- **COVENIN 1212-81** — Norma venezolana para recubrimientos de zinc por inmersión en caliente
- **ASTM A153** — Recubrimientos de zinc (galvanizado en caliente) sobre herrajes de hierro y acero
- **ASTM A123** — Recubrimientos de zinc (galvanizado en caliente) sobre productos de hierro y acero

#### OBSERVACIONES

Galvanizado en caliente ejecutado según normas COVENIN 1212-81 (apariencia, adherencia y espesor de capa de zinc) y ASTM A153/A123. Se certifica que los datos aquí suministrados cumplen con todos los requerimientos de calidad aplicables.



**COVENIN 1212-81**  
Venezuelan galvanizing standard



**ASTM A123**  
Zinc coatings on iron/steel



**ASTM A153**  
Zinc coatings on hardware

*"Certificamos cada lote — espesor obtenido: 101 um (55% sobre especificacion)"*

# THE TEAM

*50 years of accumulated experience in industrial galvanizing*

FOTO

## **Ing. Francisco Ballesteros Z.** FOUNDER

Founded and led PYGLARA for over 50 years, keeping it operational through economic contractions exceeding 70%. Extensive industrial network across Venezuela and abroad. Undisputed authority in industrial galvanizing.

FOTO

## **Ing. Miriam Armas** PLANT ENGINEER

36+ years of technical experience. Responsible for quality, production and certifications. Knows every piece of the plant. Primary source for technical due diligence.

### **OPERATIONS TEAM**

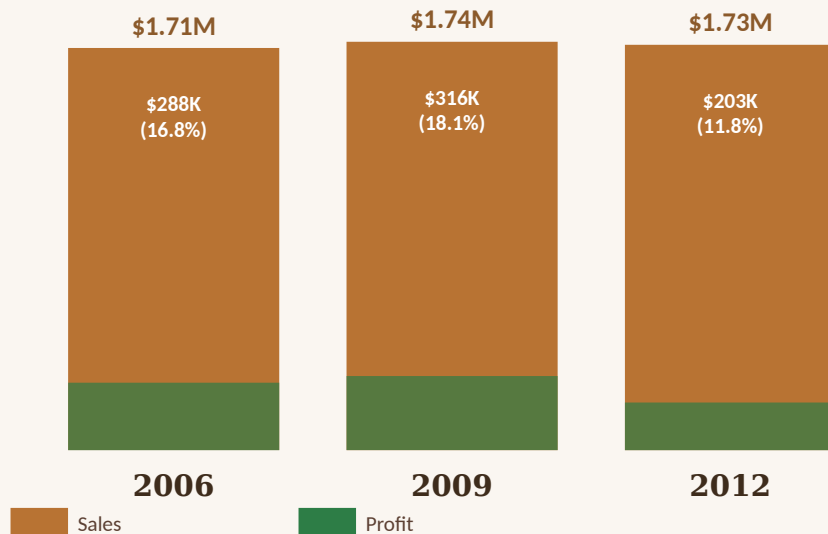
At full capacity: 15 workers (piece-rate). Currently: 3 workers. Direct supervision by Ing. Miriam. Hiring scales with production — no fixed payroll commitments until there is volume.



# TRACK RECORD & CLIENTS

50 years of operation — financial data confirmed by SENIAT

## TOP 3 YEARS (SENIAT)



Data declared to SENIAT (verifiable). Exchange rates: CADIVI 2006/2009, post-devaluation 2012.

## CLIENTS & PARTNERS

### CORPOELEC

20,000 copper ground rods

### SASGO

Electric poles & towers

### MARULLO

Agroindustrial machinery

### FREYSSINET

MSE retaining walls (VINCI Group)

### INDUESCA

Cable trays & towers

### DISMACA

EPC / Oil & Gas

**34** clientes historicos

**6** interested in reactivating orders

# CURRENT PLANT INVENTORY

*Materials, equipment and machinery available at the time of transaction*

## RAW MATERIALS ON SITE

| Material                               | Quantity |
|----------------------------------------|----------|
| Zinc SHG 99.99%                        | 2,041 kg |
| Hydrochloric acid (HCl)                | 4,600 kg |
| Ammonium chloride (NH <sub>4</sub> Cl) | 500 kg   |

## MACHINERY & EQUIPMENT

| Equipment                       | Quantity |
|---------------------------------|----------|
| Clark Forklifts (2,500 kg)      | 3 units  |
| Overhead Cranes (2-5 MT)        | 2 units  |
| Industrial Scale                | 1 unit   |
| Three-phase Rectifiers (copper) | 6 units  |
| Electrolytic Tanks (copper)     | 10 units |
| 65cm Centrifuge                 | ACTIVE   |



*Galvanized nails — current production with 65cm centrifuge*

The 65cm centrifuge is **OPERATIONAL** and producing galvanized nails **TODAY** — the plant is not completely idle.

# COMPETITIVE POSITION

*Only 2 commercial galvanizing service providers in the entire country — all others galvanize only their own products*

**2**

Commercial service providers  
in all of Venezuela

**\$2.2M**

Minimum investment for  
a new entrant

**18-36**

Months of construction  
to compete



Extremely high barrier to entry — building a galvanizing plant takes years and millions of dollars



Pilling equipment (Germany) is not available locally — impossible to replicate quickly



PYGLARA has clean title, active permits, and is ready to operate in 3 months



Coverage: Lara, Yaracuy, Portuguesa, Falcon, Trujillo, Barinas + Zulia (oil)

***"Extremely high barrier to entry"***

# GALVANIZING ECONOMICS

Variable and fixed cost structure per galvanized ton

| Variable Costs (per ton)                      | \$/TM                  | \$/Kg                | % Variable     |
|-----------------------------------------------|------------------------|----------------------|----------------|
| Zinc SHG 99.99% (10% absorption x \$4,220/TM) | \$422                  | \$0.422              | 78%            |
| Hydrochloric acid HCl (4.2% x \$1,174/MT)     | \$49                   | \$0.049              | 9%             |
| Ammonium chloride NH4Cl (3% x \$2,300/MT)     | \$69                   | \$0.069              | 13%            |
| <b>TOTAL VARIABLE</b>                         | <b>\$540</b>           | <b>\$0.54</b>        | <b>100%</b>    |
| <b>SELLING PRICE (market range)</b>           | <b>\$1,200-\$1,500</b> | <b>\$1.20-\$1.50</b> |                |
| <b>CONTRIBUTION MARGIN (range)</b>            | <b>\$660-\$960</b>     | <b>\$0.66-\$0.96</b> | <b>55%-64%</b> |

## MONTHLY FIXED COSTS

Gas PDVSA: \$1,800 | Seguridad: \$1,200

Salarios: \$2,300 | Electricidad: \$200 | Otros: \$100

**Total: \$5,600/mo (+\$7,500 labor at full capacity)**

**= \$13,100/mo at 300 MT → only \$44/MT additional**

## NET PROFIT PER TON (range)

Revenue: \$1,200-\$1,500 - Variable: \$540 - Fixed: ~\$44-\$131

**\$529 - \$916 / MT net**

*Depends on volume, zinc price, and selling price*

# FINANCIAL PROJECTIONS

Three scenarios — actual production depends on demand, zinc supply, and operational capacity

| Scenario        | MT/mo | Revenue/mo    | Costs/mo      | Profit/mo     | Profit/yr     |
|-----------------|-------|---------------|---------------|---------------|---------------|
| Conservative    | 100   | \$120K-\$150K | \$60K-\$67K   | \$53K-\$90K   | \$636K-\$1.1M |
| Moderate        | 200   | \$240K-\$300K | \$114K-\$121K | \$119K-\$186K | \$1.4M-\$2.2M |
| Best historical | 300   | \$360K-\$450K | \$175K-\$182K | \$178K-\$275K | \$2.1M-\$3.3M |

## KEY ASSUMPTIONS & VARIABLES

Selling price: \$1,200-\$1,500/MT (depends on market and part type)

Variable cost: ~\$540/MT (zinc at current LME price — subject to volatility)

Fixed costs: \$5,600-\$13,100/mo (scale with labor based on volume)

Ranges reflect factors such as zinc availability, seasonal demand, and actual operational capacity.

+ Copper electroplating line at full capacity: \$561K - \$1.05M/year additional revenue

**55%-64%**

Operating margin  
range

**10-20 MT**

Break-even  
range/month

**<7%**

Break-even as  
% of capacity

# BREAK-EVEN POINT

Estimated break-even: **10-20 MT/mo** — less than 7% of proven production

10-20 MT  
Break-even

**300 MT/mo — Proven production**



Profitable from a very low volume — wide margin of safety



Best historical month was 300 MT. Break-even is less than 7% of that capacity.



Fixed costs: \$5,600-\$13,100/mo (depends on scale). Variable: ~\$540/MT (subject to zinc price).



Range depends on selling price (\$1,200-\$1,500/MT), zinc cost, and labor level.

# CAPITAL DEPLOYMENT

*Phased startup capital — each phase funds the next*

**Phase 1: 3.5m Kettle**  
Repair + 20 MT zinc

**\$94,400**



~\$30K-\$80K/mo

**Phase 2: 7m Kettle**  
50 MT zinc + cranes

**\$216,000**



\$90K-\$275K/mo

**Phase 3: Copper Line**  
Rectifiers + tanks

**\$52,500**



+\$30K-\$56K/mo

**Phase 4: 9m Kettle**  
Installation + zinc

**TBD**



Future capacity

Minimum investment (Phases 1-2): **\$336K** → Potential: **\$90K-\$275K/mo** *(depends on volume)*

# ASSET VALUATION

*Replacement cost — what it would cost to build from scratch*

| Category                                      | Value Range            |
|-----------------------------------------------|------------------------|
| Terreno + 2 galpones (3,640 m2)               | \$692K - \$990K        |
| Pilling kettles (7m + 9m + 3.5m + centrifuge) | \$1,140K - \$1,340K    |
| Copper line (6 rectifiers, 10 tanks)          | \$100K - \$200K        |
| Cranes, forklifts, industrial scale           | \$90K - \$180K         |
| Chemical processing + infrastructure          | \$90K - \$180K         |
| Permits, installation, commissioning          | \$72K - \$140K         |
| <b>TOTAL REPLACEMENT COST</b>                 | <b>\$2.2M - \$3.0M</b> |

*Una nueva planta toma 18-36 meses de construccion. PYGLARA esta lista en 3 meses.*



# WHAT THE ACQUISITION INCLUDES



100% equity ownership (Sociedad Anonima)



PYGLARA brand + 50 years of reputation



2 industrial warehouses with clean title (3,640 m2)



34 documented historical clients



4 Pilling kettles (Germany) + furnaces and burners



Active permits: RIF, license, PDVSA Gas contract



Complete copper electroplating line



Personnel with 36+ years of technical experience



2 overhead cranes + 3 Clark forklifts + industrial scale

# NEXT STEPS

01

## Visit the plant

See the Pilling equipment firsthand

02

## Review the full document

25-35 page investment document with all the details

03

## Discuss terms

Due diligence process and negotiation

*"This plant is ready. The clients are waiting. All it needs is zinc."*

# PYGLARA

Prensados y Galvanizados de Lara, S.A.

## Andres Montbrun

Commercial Representative



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Galpon 25-90, Zona Industrial I  
Barquisimeto 3001, Venezuela



WhatsApp

Scan to contact

# OFAC COMPLIANCE FRAMEWORK



## General License 50A

Permits certain transactions related to Venezuela



## Non-Sanctioned Activity

Industrial galvanizing services are NOT sanctioned



## 100% Private Capital

No government ownership whatsoever



## No Sanctioned Entities

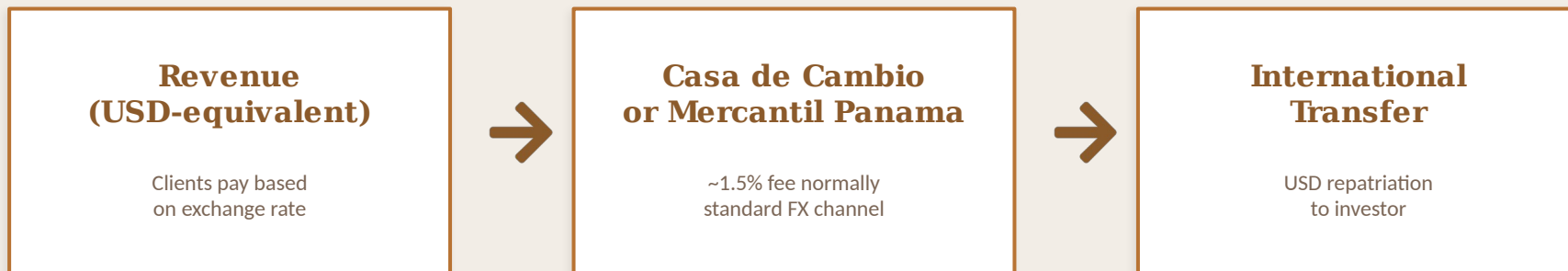
No involvement with PDVSA beyond standard gas utility



## Legal Counsel

Consult Venezuela-experienced counsel for specific guidance

# USD REPATRIATION MECHANISM



- ✓ Revenue denominated in USD-equivalent pricing
- ✓ Casa de cambio or Mercantil Panama — ~1.5% fee (standard)
- ✓ Post-January 2026 government has normalized foreign exchange
- ✓ Multiple private companies currently repatriating profits via same channels

*Currency volatility exists but is mitigated by USD-equivalent pricing model.*

# KEY RISKS AND MITIGATION

| Risk                         | Impact | Mitigation                                                         |
|------------------------------|--------|--------------------------------------------------------------------|
| Zinc price volatility        | Medium | Pass-through cost — client pays based on absorption rate           |
| Regulatory margin cap (30%)  | Low    | Market achieves ~50% actual. 30% is legal floor.                   |
| Political/regulatory change  | Medium | Infrastructure is bipartisan. Post-Jan 2026 govt is oil-friendly.  |
| Client volume below forecast | Low    | Break-even at 14 TM/month (4.5% of proven capacity).               |
| Equipment failure            | Low    | \$25-50K maint. budget. 36+ years of technical expertise on staff. |
| Currency/exchange risk       | Medium | USD-equivalent pricing. Revenue follows exchange rate.             |

*The core risk is macro. The core mitigation is that PYGLARA is an infrastructure play — whoever governs needs galvanized steel.*